Question #1 of 41

Question ID: 1674552

Suppose that an equity market has a degree of segmentation of zero, a standard deviation of 15%, and a 0.85 correlation with the global market. If the equity market has a risk premium of 6%, the Sharpe ratio of the global market is *closest* to:

A) 0.102. ✗

B) 0.212. ✗

C) 0.471. ✓

Explanation

A degree of segmentation of zero indicates complete integration. In that case, the Singer-Terhaar approach would yield a risk premium equal to ρ(i,M)σ(i)*SR:

$$RP = \rho(i,M) \times \sigma(i) \times SR$$

$$6\% = 0.85 \times 15\% \times SR$$

Solving for the Sharpe ratio results in a 0.471 Sharpe ratio.

(Module 2.3, LOS 2.d)

Question #2 of 41

Question ID: 1580637

Suppose that an equity market has a dividend yield of 3%, real earnings growth of 2%, inflation of 1%, and is experiencing a reduction in shares outstanding of 0.5%. The P/E ratio is expected to rise from 16 to 16.32. The repricing return is expected to be *closest* to:

A) 2%. ✓

B) 4%. ✗

C) 3%. ✗

Explanation

The repricing component is the percentage change in the P/E ratio.

$$(16.32 / 16) - 1 = 2\%.$$

(Module 2.3, LOS 2.c)

Question #3 of 41

Question ID: 1551593

Josh Rykers is an analyst who uses the Grinold-Kroner model to forecast stock market returns. He estimates a 3.5% dividend yield, real earnings growth of 2.1%, long-term inflation of 1.9%, a 1.0% decrease in shares outstanding, and an expansion of the P/E multiple of 0.5%. Which of the following statements is *most accurate*?

A) The expected income return is 2.5%.

B) The expected nominal earnings growth is 0.2%.

C) The expected repricing return is 0.5%.

Explanation

Expected repricing return = change in P/E ratio = 0.5%

Expected income return = dividend yield − increase in shares outstanding = 3.5% − (−1.0%) = 4.5%

Expected nominal earnings growth = real earnings growth + inflation = 2.1% + 1.9% = 4.0%

(Module 2.3, LOS 2.c)

Question #4 of 41

Question ID: 1580628

A portfolio manager manages a $500 million bond portfolio. The portfolio has modified duration of 7.5 and a yield to maturity (YTM) of 6.2%. The manager's investment horizon is 7.5 years, and she expects bond yields to rise by an average 15 bps annually over the investment horizon. Relative to the initial YTM, the manager is *most likely* to realize:

A) the same YTM.

B) lower YTM.

C) higher YTM.

Explanation

The portfolio's Macaulay duration is 7.97 (= 7.5 × 1.062). The Macaulay duration represents the investment horizon at which the manager would be fully immunized against interest rate risk. Given that the manager's investment horizon of 7.5 years is shorter than the Macaulay duration of 7.97, an increase in bond yields will result in a return that is *lower* than the YTM because the loss on the bond price will outweigh the increase in reinvestment yield.

(Module 2.1, LOS 2.a)

Question #5 of 41

Question ID: 1618844

At the trough of the business cycle, analysts should recommend that portfolio managers:

A) increase medium-term bond exposure. ✗

B) reduce equity exposure. ✗

C) reduce bond durations. ✓

Explanation

At the trough of the business cycle, analysts should recommend an increase to equity exposure because equities tend to perform well as business conditions improve. With interest rates expected to rise, an analyst should recommend reducing portfolios' bond exposures and durations because bonds tend to underperform when interest rates rise.

(Module 2.8, LOS 2.h)

Question #6 of 41

Question ID: 1580649

The country of Stateland has an economy characterized by increasing prices, a trend that is expected to continue. Based on that statement alone, a manager who is considering investing in Stateland investments (on an unleveraged basis) would *least appropriately* invest in:

A) equities. ✗

B) bonds. ✓

C) real estate. ✗

Explanation

The manager should invest in equities or real estate. Equities tend to perform well during periods of rising prices and inflation. Real estate also performs well during inflationary times. Bonds tend to underperform during periods of inflation (which are often accompanied by rising interest rates) based on basic bond valuation—assuming a fixed return in the numerator, a higher discount rate in the denominator will result in a lower bond price.

(Module 2.8, LOS 2.h)

Question #7 of 41

Question ID: 1580633

Which of the following statements regarding risk in emerging market economies is *least accurate*?

A) There are inadequate fiscal and monetary policies. ✗

B) Their undiversified nature makes them susceptible to volatile capital flows and economic crises. ✗

C) The economies are often heavily dependent on consumer durables. ✓

Explanation

Small economies are often heavily dependent on the sale of *commodities*, and their undiversified nature makes them susceptible to volatile capital flows and economic crises.

(Module 2.2, LOS 2.b)

Question #8 - 11 of 41

Question ID: 1562888

Based only on economic conditions in Arbutia, which of these Arbutian investments is *most likely* to perform the best?

A) Stocks. ✗

B) Real estate. ✗

C) Government bonds. ✓

Explanation

The Arbutian economy is experiencing deflation. As long as bonds do not default, deflation is positive for bonds because their fixed future cash flows have greater purchasing power. Arbutian government bonds are AAA rated; thus, they have low default risk.

Deflation is negative for stocks because economic activity and business declines in deflationary environments. Deflation is negative for real estate because property values generally decline in deflationary periods.

(Module 1.3, LOS 1.g)

Question #9 - 11 of 41

Question ID: 1674551

The yield curve in Catonia is *most likely*:

A) flat. ✓

B) steep.

C) inverted.

Explanation

The central bank in Catonia follows the Taylor rule for setting monetary policy, and their target nominal interest rate is higher than the neutral real interest rate plus expected inflation. This is indicative of a restrictive monetary policy. Regarding the fiscal policy in Catonia, there is a budget deficit, and the deficit has been increasing over time. This is indicative of an expansive fiscal policy. If monetary policy is restrictive and fiscal policy is stimulative, the yield curve is most likely flat.

(Module 1.4, LOS 1.i)

Question #10 - 11 of 41

Question ID: 1562890

The Lansdonian economy is *most likely* experiencing:

A) deflation.

B) disinflation.

C) negative inflation.

Explanation

Disinflation describes an inflation rate, that while positive, is declining. The chronological trend in the Lansdonian inflation rate is 5%, 4.6%, and 4.4%, respectively. Deflation refers to falling prices and is a negative rate of inflation (e.g., –0.5%).

(Module 1.3, LOS 1.g)

Question #11 - 11 of 41

Question ID: 1562891

Which of the following would reduce the expected equity market return when applying the Grinold-Kroner model to the Tagonian market?

A) Share issuance in Tagonia.

B) The repricing return in Tagonia.

C) Stock repurchases and the dividend yield in Tagonia.

Explanation

In the Grinold-Kroner model, the expected equity market return is calculated as follows:

$$E(R_e) \approx (D/P - \%\Delta S) + \%\Delta E + \%\Delta P/E$$

There has been a record increase in the number of shares issued (%ΔS), and this positive value is subtracted from the first term on the right-hand side, thus reducing the expected equity market return, E(Re), in Tagonia.

The repricing return refers to the change in the P/E ratio (%ΔP/E), and this has increased in Tagonia. Thus, it would increase the expected equity market return. The same is true of stock repurchases and the dividend yield. Although stock repurchases and the dividend yield (D/P) are minimal, they are positive and would increase the expected equity market return. Note that stock repurchases would figure into %ΔS. This negative change in the shares issued would be subtracted—resulting in a positive contribution to the %ΔS term—and increase the expected equity market return.

(Module 2.3, LOS 2.c)

Question #12 of 41

Question ID: 1580646

Which of the following statements about variance-covariance (VCV) matrices is *most accurate*?

A) Factor-based VCV matrices are superior to sample VCV matrices because factor-based VCV matrices are unbiased and consistent. ✗

B) Using a shrinkage estimate by combining information in the sample VCV matrix and the factor-based VCV matrix will result in reduced estimation error. ✓

C) Although factor-based VCV matrices are biased, on average, they will be a predictor of true returns. ✗

Explanation

Combining information in the sample VCV matrix and the factor-based VCV matrix will result in more precise data—and therefore, reduced estimation error.

Factor-based VCV matrices are both biased (their expected values do not equal the true matrix returns, not even on average) and inconsistent (as the sample size increases in the factor-based VCV matrix, the model does not converge to the true matrix).

(Module 2.7, LOS 2.g)

Question #13 - 16 of 41

Question ID: 1562893

Which of Baldi's projections is consistent with the typical impacts of hot money flows?

A) Her projection for the Lombardian central bank policy.

B) Her projection for the investments by Lombardian firms.

C) Her projection for the value of the Lombardian currency.

Explanation

Carry traders invest in high interest rate currencies. Strong flows of capital into a country are referred to as hot money. One impact of hot money is that firms use short-term financing to fund long-term investments, which increases financial market risk. Baldi projects that Lombardian firms will invest hot money in long-term projects. Thus, this is the correct response.

Central banks may try to counter the effects of hot money flows through intervention in the currency markets, including selling government securities. Baldi projects that Lombardo's central bank will try to counter the effects of hot money by buying government bonds, which is inconsistent with a typical impact of hot money flows.

As a result of hot money flows, currencies tend to overshoot and eventually decline in value. Baldi projects that long term, the Lombardian currency will appreciate in value.

(Module 2.6, LOS 2.f)

Question #14 - 16 of 41

Question ID: 1562894

Which of the following U.S. bonds *most likely* has the highest liquidity?

A) Bond A.

B) Bond B.

C) Bond C.

Explanation

Liquidity tends to be the highest at the earliest stages of a bond's life. Securities with the highest liquidity include high-quality corporate bonds. In general, liquidity is higher for bonds that are (1) issued at close to par or market rates, (2) new, (3) large in size, (4) issued by a frequent and well-known issuer, (5) simple in structure, and (6) of high credit quality.

Of the three bonds, Bond C likely has the highest liquidity because it was the most recently issued, the largest issue, and simple in structure as it is option free.

(Module 2.1, LOS 2.a)

Question #15 - 16 of 41

Question ID: 1591664

The five-year expected return for Groh's investment is *most likely* negatively related to:

A) vacancy rates.

B) changes in interest rates.

C) the availability of debt financing.

Explanation

If an investor has a finite time horizon, the expected return for real estate is equal to the cap rate plus the net operating income growth rate minus the percent change in the cap rate.

The cap rate itself is negatively related to the availability of debt financing. Thus, response C is correct.

The cap rate is positively related to changes in interest rates and vacancy rates. Thus, responses A and B are incorrect.

(Module 2.5, LOS 2.e)

Question #16 - 16 of 41

Question ID: 1562896

Which of the following statements by Baldi is *most accurate*?

A) Statement 1 only.

B) Statement 2 only.

C) Both Statement 1 and Statement 2.

Explanation

Statement 1 is correct. The risk premium for real estate includes a term premium, credit premium, and equity risk premium. The combined risk premium for real estate is higher than that for corporate bonds, but lower than that for equities. A liquidity risk premium must also be considered.

Statement 2 is incorrect. Although portfolios may gain diversification benefits by including both REITs and direct real estate investments, over long time horizons, REITs have a relatively high correlation with direct real estate.

(Module 2.5, LOS 2.e)

Question #17 of 41

Question ID: 1580643

Joshua Petersen is a real estate analyst who wants to make appropriate adjustments to a capitalization rate. He predicts that vacancy rates will increase and that the availability of credit will decrease. Based on these views, it is *most likely* that Petersen:

A) should decrease the capitalization rate. ✗

B) should increase the capitalization rate. ✓

C) may need to either increase or decrease the capitalization rate because the two predictions have offsetting effects. ✗

Explanation

Capitalization rates are positively related to vacancy rates and inversely related to the availability of credit. Therefore, the appropriate adjustment to the capitalization rate would be to increase it. This is logical because both factors should negatively impact the value of real estate, which would also be the result of using a higher capitalization rate.

(Module 2.5, LOS 2.e)

Question #18 of 41

Question ID: 1580631

Landestan is an emerging market economy with a debt-to-GDP ratio of 85% and a foreign exchange reserves-to-short-term-debt ratio of 95%. A bond investor looking to invest in Landestandi bonds would *most likely* conclude that these ratios:

A) are contradictory indicators of credit risk. ✗

B) indicate low credit risk. ✗

C) indicate high credit risk. ✓

Explanation

These ratios both suggest high credit risk. A debt-to-GDP ratio higher than 70% is troublesome for emerging countries because higher debt increases the likelihood that the country will not be able to make its contractual debt payments. Because many emerging country loans must be paid back in a foreign currency, foreign exchange reserves that are less than 100% of short-term debt indicates high credit risk.

(Module 2.2, LOS 2.b)

Question #19 of 41

Question ID: 1580641

John Dodson manages a portfolio of real estate assets. He notes that capitalization (cap) rates are positively related to both vacancy rates and the availability of debt financing. Dodson's statements are *most likely* to be accurate with respect to:

A) both vacancy rates and the availability of debt financing. ✗

B) the availability of debt financing only. ✗

C) vacancy rates only. ✓

Explanation

Cap rates are positively related to vacancy rates because higher vacancy rates indicate higher risk and require higher expected returns. Cap rates are *inversely* related to the availability of debt financing because the higher availability of debt financing reduces risk.

(Module 2.5, LOS 2.e)

Question #20 of 41

Question ID: 1551615

Which of the following *best* describes an advantage of using factor-based variance/covariance matrices versus sample variance/covariance matrices in estimating volatility? A factor-based variance/covariance matrix:

A) requires fewer observations. ✓

B) is unbiased. ✗

C) is consistent. ✗

Explanation

The use of a few common factors greatly reduces the number of observations needed to produce a variance-covariance matrix and is a strength of the factor-based approach. Disadvantages of the factor-based approach are that the matrix is not unbiased and is not consistent.

(Module 2.7, LOS 2.g)

Question #21 of 41

Question ID: 1580638

Consider the following data for emerging Country A:

	Expected Standard Deviation	Correlation With Global Investable Market
Country A bonds	8%	0.38
Country A equities	12%	0.65
Market Sharpe ratio = 0.40		

The amount by which Country A's equity risk premium will exceed its debt risk premium is *closest* to:

A) 1.9%. ✓

B) 3.4%. ✗

C) 4.8%. ✗

Explanation

$RP_{bonds} = 8\% \times 0.38 \times 0.40 = 1.22\%$

$RP_{equities} = 12\% \times 0.65 \times 0.40 = 3.12\%$

$RP_{equities} - RP_{bonds} = 3.12\% - 1.22\% = 1.9\%$

(Module 2.3, LOS 2.d)

Question #22 of 41

Question ID: 1580629

An investor purchases a coupon-paying bond where the term of the bond is equal to his investment horizon. If interest rates rise over that period, it is *most likely* that the realized return will be:

A) equal to expected return. ✗

B) greater than expected return. ✓

C) less than expected return. ✗

Explanation

A coupon-paying bond will have a Macaulay duration less than the term. Therefore, the duration, in this case, is less than the investment horizon. When duration is less than investment horizon, an increase in interest rates will benefit the portfolio due to reinvestment at the higher rate, resulting in a realized return that is greater than initially expected.

(Module 2.1, LOS 2.a)

Question #23 of 41

Question ID: 1580647

An analyst at an investment firm uses a sample variance-covariance (VCV) matrix in the firm's asset allocation process. The analyst determines that the matrix will need 12 asset classes and has obtained weekly sample return data over the last three years. Which of the following statements about the analyst's approach is *most accurate*?

A) The analyst can use the sample VCV matrix, but it will be subject to large sample errors. ✗

B) The analyst cannot use the sample VCV matrix. ✗

C) The analyst can use the sample VCV matrix, and it will not be subject to large sample errors. ✓

Explanation

The analyst can use the sample VCV matrix because the sample size of 52 × 3 = 156 sufficiently exceeds the number of asset classes of 12. Based on the 10-to-1 rule of thumb, the analyst needs more than 12 × 10 = 120 observations for the sample VCV matrix to be reliable and not subject to large sample errors. Both of these conditions are satisfied.

(Module 2.7, LOS 2.g)

Question #24 of 41

Question ID: 1580636

Trish Plano is an analyst who uses the Grinold-Kroner model to forecast stock market returns. In one particular analysis, Plano estimates a 3.5% dividend yield, real earnings growth of 2.0%, long-term inflation of 2.0%, no increase in shares outstanding, and a 1.1% expansion of the P/E multiple. The implied return on the stock market given these assumptions should be *closest* to:

A) 8.6%. ✓

B) 8.2%. ✗

C) 4.6%.

Explanation

The Grinold-Kroner model states that the expected return of the stock market is its dividend yield, plus the inflation rate, plus the real earnings growth rate, minus the change in stock outstanding, plus changes in the P/E ratio:

$$\text{Return} = 3.5\% + 2.0\% + 2.0\% - 0\% + 1.1\% = 8.6\%.$$

(Module 2.3, LOS 2.c)

Question #25 of 41

Question ID: 1580645

While making use of the capital mobility approach to exchange rate forecasting, an analyst finds that there are no premiums for term, credit, equity, or liquidity, but she still finds the formula useful. The analyst is essentially using which of the following concepts if she uses the formula?

A) Portfolio balance and composition.

B) Purchasing power parity.

C) Uncovered interest rate parity.

Explanation

The capital mobility approach expands on uncovered interest rate parity by adding terms related to risk premiums for term, credit, equity, and liquidity. Without those premiums, the capital mobility approach reduces to uncovered interest rate parity.

(Module 2.6, LOS 2.f)

Question #26 of 41

Question ID: 1580639

Which of the following statements about investing in emerging market securities is *least accurate*?

A) When calculating the risk premium under full segmentation, the Singer-Terhaar model uses the local market as the reference instead of the global market.

B) In segmented markets, two assets with the same risk can have different expected returns.

C) Although the Singer-Terhaar model does not adjust the CAPM for emerging market segmentation, it is a useful model because it adjusts for other market imperfections. ✓

Explanation

The Singer-Terhaar model adjusts the CAPM for market imperfections, specifically segmentation. When markets are segmented, capital does not flow freely across borders.

If markets are segmented, two assets with the same risk can have different expected returns because capital cannot flow to the higher return asset. When calculating the risk premium under full segmentation, the Singer-Terhaar uses the local market as the reference market instead of the global market, where the correlation between the local market and itself is 1.0.

(Module 2.3, LOS 2.d)

Question #27 of 41

Question ID: 1580635

Which of the following is not indicative of low risk in an emerging market economy?

A) Foreign exchange reserves that are twice that of the short-term debt. ✗

B) A current account deficit that is 2% of GDP. ✗

C) A foreign debt level that is 75% of GDP. ✓

Explanation

The *debt-to-GDP ratio* of 70%–80% has been troublesome for emerging countries. A *current account deficit* exceeding 4% of GDP has been a warning sign of potential difficulty. Foreign exchange reserves less than 100% of short-term debt is a sign of trouble (greater than 200% is considered strong).

(Module 2.2, LOS 2.b)

Question #28 of 41

Question ID: 1580644

An institutional investor forecasts that Portuguese inflation will be a cumulative 9.7% over the next four years, while Canadian inflation will total 6.8% over the same period. Global bond yields have begun to fall and will continue to do so for some time, while stock prices are expected to be flat. Which country and asset class should the investor favor?

A) Portuguese stocks. ✗

B) Canadian stocks. ✗

C) Canadian bonds. ✓

Explanation

According to the purchasing power parity (PPP) relationship, countries with higher inflation will see their currency depreciate. Because the investor expects Canadian inflation to be below Portuguese inflation, he should invest in Canada, which should see its currency appreciate. Within Canada, the investor should favor bonds because bond yields are falling and bond prices are expected to rise.

(Module 2.6, LOS 2.f)

Question #29 of 41

Question ID: 1551608

Johnny Adams is a British currency trader who does not believe uncovered interest rate parity (UIP) holds in the markets, but believes that carry trades could lead to successful trade strategies. Which of the following strategies should Adams follow?

A) Lend in the high interest rate currency, and borrow in the low interest rate currency. ✓

B) Borrow in the high interest rate currency, and lend in the low interest rate currency. ✗

C) Lend in the high inflation currency, and borrow in the low inflation currency. ✗

Explanation

UIP states that exchange rate changes between countries should equal the differences in their nominal interest rates. Successful carry trades are violations of UIP. A carry trade involves borrowing in a low interest rate currency and lending in a high interest rate currency.

(Module 2.6, LOS 2.f)

Question #30 of 41

Question ID: 1580632

Which of the following factors would *most likely* be considered a sign that an emerging market is more susceptible to risk?

A) Larger financial markets. ✗

B) Many cyclical industries. ✓

C) Dispersed wealth. ✗

Explanation

Less developed and smaller financial markets as well as wealth concentration are both signs that an emerging market is more susceptible to risk. A greater dominance of cyclical industries, including commodities, is also a sign of increased risk.

(Module 2.2, LOS 2.b)

Question #31 of 41

Question ID: 1580642

An analyst estimates the following statistics for properties in the commercial real estate sector:

- Current capitalization (cap) rate: 4.3%
- Next year's expected cap rate: 3.8%
- Net operating income (NOI) real growth rate: 1.2%
- Expected inflation: 0.9%

Based on the information provided, the expected return on the commercial real estate sector properties is *closest* to:

A) 18.0%.

B) −0.6%.

C) 5.9%.

Explanation

The change in expected cap rate from 4.3% to 3.8% represents an 11.6% decrease (3.8% − 4.3%) / 4.3% = −11.6%.

The expected return on the commercial real estate properties can be written as:

$$E(R_{RE}) = \text{cap rate} + \text{nominal NOI growth rate} - \%\Delta\text{cap rate} = 4.3\% + (1.2\% + 0.9\%) - (-11.6\%) = 18.0\%.$$

(Module 2.5, LOS 2.e)

Question #32 of 41

Question ID: 1580634

Considering the following table:

Country	(Budget) Deficit/GDP	Current Account Deficit/GDP	Foreign Exchange Reserves/Short-Term Debt
D	4%	2%	220%
F	5%	1%	210%

The country *most likely* be viewed as riskier would be:

A) Country D, because two economic indicators are worse.

B) Country F, due to its shortage of foreign exchange reserves.

C) Country F, due to its relatively large budget deficit.

Explanation

Neither the current account deficit ratio nor the foreign reserve ratio is considered to be dangerous, given these numbers. The current account ratio is less than the 4% threshold and foreign reserves are in excess of 200%, which is considered strong. Therefore, the main ratio to consider in the comparison is the deficit-to-GDP ratio, where a number in excess of 4% is cause for concern. Note that the question is not asking about the level of riskiness, but rather a ranking between D and F.

(Module 2.2, LOS 2.b)

Question #33 of 41

Question ID: 1580650

Christopher Lawe is an analyst examining data for a country he believes is experiencing significant economic changes over both the short term and long term. In the short term, the economy is at the trough of a cycle—and in the long term, he believes the country will experience increased integration with the world market. Based on Lawe's analysis, the country's equity market is *most likely* to experience:

A) higher-than-average returns in the short term and lower-than-average returns in the long term.

B) lower-than-average returns in the short term and long term.

C) higher-than-average returns in the short term and long term.

Explanation

Equities tend to do well from a point when the economy is at a trough because future economic expansion positively impacts returns. An increase in integration will reduce the risk of the equity market, thus reducing required returns. The reduction in required returns will increase equity prices and result in higher returns over the period of increased integration.

(Module 2.8, LOS 2.h)

Question #34 of 41

Question ID: 1551594

Suppose that an equity market has a dividend yield of 3%, real earnings growth of 2%, inflation of 1%, and a 0.5% reduction in shares outstanding is anticipated. Furthermore, the P/E ratio is expected to rise from 16 to 16.32.

The return on the market that would be forecast by the Grinold-Kroner model would be *closest* to:

A) 7.5%. ✗

B) 6.0%. ✗

C) 8.5%. ✓

Explanation

The forecasted return includes all the elements of Grinold-Kroner. The reduction in shares outstanding represents a repurchase yield and adds to the forecasted return. The increase in the P/E ratio would result in an additional return. Numerically, the return is computed as 3% + 2% + 1% − (−0.5%) +((16.32 / 16) − 1) = 8.5%.

(Module 2.3, LOS 2.c)

Question #35 of 41

Question ID: 1551583

An analyst believes that the corporate profit-to-GDP ratio and business confidence provide important information about the term premium. These indicators are *best* categorized as:

A) Kim and Wright premiums. ✗

B) cyclical proxies. ✓

C) supply indicators. ✗

Explanation

Cyclical proxies are indicators that influence the term premium and include the corporate profit-to-GDP ratio, business confidence, and the unemployment rate.

The Kim and Wright premium refers to a three-factor model of the term structure. The proportion of debt with a maturity greater than 10 years is a supply indicator.

(Module 2.1, LOS 2.a)

Question #36 - 39 of 41

Question ID: 1562898

Which of the following factors is *least likely* to suggest that Bellania is susceptible to risk?

A) Its government. ✗

B) Its foreign debt levels. ✓

C) Its foreign exchange reserves. ✗

Explanation

Foreign debt levels greater than 50% of GDP indicate that the country may be overleveraged. At 41%, Bellania does not appear to be overleveraged.

There are better prospects for growth when a government is committed to competition. Furthermore, coalition governments are seen as riskier because of the inherent political, and therefore policy, instability. The Bellanian coalition government is restricting competition in its most promising industries, indicating a susceptibility to risk.

Foreign exchange reserves relative to short-term debt are important because many emerging country loans must be paid back in a foreign currency. Foreign exchange reserves less than 100% of short-term debt are a sign of trouble. At 81%, Bellania may be susceptible to risk.

(Module 2.2, LOS 2.b)

Question #37 - 39 of 41

Question ID: 1674554

Which of the following is *closest* to the risk premium for the Bellanian equity market using the Singer-Terhaar model?

A) 2.50%. ✗

B) 3.50%. ✓

C) 5.00%. ✗

Explanation

In the Singer-Terhaar model, the risk premium is the product of the correlation with the global market portfolio, the standard deviation of the market, and the Sharpe ratio for the global portfolio. It is calculated under both fully integrated and fully segmented assumptions.

Assuming fully integrated markets, the risk premium is 0.50 × 25% × 0.20 = 2.5%.

Assuming fully segmented markets, the relevant global portfolio is its own market portfolio such that the correlation is equal to one: 1.00 × 25% × 0.20 = 5.0%.

The risk premium overall in the Singer-Terhaar model is a weighted average of a fully integrated market risk premium (0.60 weight) and a fully segmented market risk premium (0.40 weight): 0.60 × 2.5% + (1 –0.60) × 5.0% = 3.5%.

(Module 2.3, LOS 2.c)

Question #38 - 39 of 41

Question ID: 1562900

Which of the following statements by Niendorf is *most accurate*?

A) Statement 1.

B) Statement 2.

C) Statement 3.

Explanation

Statement 3 is accurate. As a market becomes more integrated globally, required returns will fall (as shown in the Singer-Terhaar model) and asset prices will increase. The client should increase allocations toward emerging markets that are expected to see increased integration.

Statement 1 is inaccurate. Historically, Harsha has had a trade surplus. The forecasted Harshan trade deficit is a function of the business cycle. Although increasing trade deficits tend to be associated with falling asset prices, the long-term trend in current account balances is more important for asset prices than current account balances that fluctuate with the business cycle. Furthermore, current account balances will have the largest influence on exchange rates (and, hence, equity returns in the investor's domestic currency) when they are persistent and sustained. The trade deficit in the Harshan case appears to be temporary.

Statement 2 is inaccurate. The Harshan economy is expected to expand rapidly over the next year. Given the prospects for economic growth, the allocation to bonds should be reduced to increase the allocation to equities. Economic growth is unfavorable to bonds because it typically results in higher interest rates. As such, the client should reduce the bond allocation and the overall bond duration.

(Module 2.8, LOS 2.h)

Question #39 - 39 of 41

Question ID: 1562901

Regarding Niendorf's methods of calculating the variance-covariance matrix, which of the following is the *most likely* outcome?

A) The results from the first method will be reliable. ✗

B) The results from the second method will be biased. ✓

C) The results from the second method will be consistent. ✗

Explanation

In the first method, Niendorf calculates the sample variance-covariance matrix for a portfolio of 31 assets using 10 years of monthly data, which is 120 observations. It is recommended that the number of observations should be at least 10 times larger than the number of portfolio assets to be reliable. In this case, there are 120 observations, which is less than 310 (31 × 10).

In the second method, Niendorf calculates the variance-covariance matrix using a factor model. Although the main advantage of using multifactor models for calculating variance-covariance matrices is that it significantly reduces the number of required observations, the factor-based variance-covariance matrix is biased and inconsistent. Thus, the most likely outcome is that the results from the second method will be biased.

(Module 2.7, LOS 2.g)

Question #40 of 41

Question ID: 1580630

ABC is a bond fund engaging in active management. ABC has expertise in identifying improving credit conditions and, therefore, is willing to accept significant credit risk. If ABC seeks to increase the premiums earned by accepting credit risk, which of the following strategies will *most likely* be pursued by ABC?

A) Decreasing the maturities of credit-risky bonds. ✓

B) Shifting from AA to AAA bonds. ✗

C) Increasing the maturities of credit-risky bonds. ✗

Explanation

Shortening maturity is the correct strategy because credit premiums have been shown to be especially generous at the short end of the curve. Increasing the maturities of credit-risky bonds would go against the empirical evidence about term and credit premiums. Moving from AA to AAA bonds would not be an effective way to take on increasing credit risk because that would be a move toward safer investments and away from the expertise of the fund.

(Module 2.1, LOS 2.a)

Question #41 of 41

Question ID: 1551620

During which phase of the business cycle would TIPS be *least* useful to a portfolio manager?

A) Slowdown.

B) Initial recovery.

C) Early expansion.

Explanation

U.S. Treasury Inflation Protected Securities (TIPS) are protected against increases in inflation. They would be needed the least when inflation is falling. During the initial recovery phase of the business cycle, inflation is falling.

(Module 2.8, LOS 2.h)